

Calderwood Partners LLC

www.calderwoodpartners.com

February 12, 2019

Sandra Flores

Chief Operating Officer

Poole, Mcknight and Rush

Re: Capital Allocation Review for Poole, Mcknight and Rush

Dear Ms. Flores:

This letter sets down the terms on which our firm will assist Poole, Mcknight and Rush in examining how the company puts its capital to work across its businesses and where that capital might earn more than it does today, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have written it at some length and in plain terms, in the belief that an engagement of this kind proceeds far more surely when both parties have read the same account of it before any work begins, and I would ask you to measure what follows against your own recollection of our conversations and to tell me, before you sign, of any point on which your understanding and mine have not yet met.

The Review You Have Asked Us to Undertake

The work is a review of capital allocation, and its object is to help the company decide where its next increments of investment ought to go rather than to sit in judgment on decisions already taken. We will begin by establishing where the company's capital rests today, business by business and, where the records permit, project by project, together with what each part of the company has returned on the capital committed to it. From there we will consider the process by which reinvestment is decided and the hurdle to which a new commitment is held, marking the places where capital has settled into uses that no longer earn what it could earn elsewhere. We will then frame the choices that follow from that picture, whether they lie in concentrating capital where it compounds, releasing it from where it does not, or holding it against opportunities not yet in view, and we will weigh each choice against what it would require and what it could reasonably be expected to return.

How We Will Proceed

We will build from your own numbers rather than from a template, and we will document as we go, so that any figure reaching a deliverable can be traced back to a source your finance staff already recognize. We will keep our findings apart from our recommendations and label each for what it is, on the understanding that the two carry different weight and ought never to be mistaken for one another, and we will bring interim results to you as they firm up so that nothing in the final material arrives as a surprise. The review concludes with a recommendation and a plan your own people can carry out after we have gone.

The People Assigned to It

The engagement will be led day to day by Deborah Jimenez, an engagement manager of the firm, who will hold the work to its schedule, chair the working sessions, and serve as your first point of contact on any matter of substance. Brenda Clayton, a consultant, will carry the analysis beneath the review, from the reconciliation of the capital and return figures to the exhibits on which the findings will rest, and it is she your finance staff will hear from most often as the data is gathered. I read every deliverable before it leaves this office, and unless you direct us otherwise we will treat you, Sandra Flores, as our point of contact for scheduling and for the requests we make of your people.

Our Fee and When We Begin

Our fee to Poole, Mcknight and Rush for the review described above is a fixed \$80,500, which covers that scope together with the ordinary meetings, correspondence, and interim materials the work entails. We will begin on February 22, 2019, and we have scoped the review to run approximately six months from that date to the final recommendation, though I will tell you early should the work prove to need more time or less.

Invoicing

We will invoice the fixed fee in equal monthly installments across the term, each installment falling due within thirty days of the date of its invoice. Out-of-pocket expenses, chiefly travel to your sites, are billed at cost, itemized on the invoice, and never marked up.

The Term and Its Ending

The engagement runs from the start date named above until we deliver the final recommendation, unless either of us brings it to an end sooner, which either party

may do on fifteen days' written notice, for a reason or for none. Should it be ended early, Poole, Mcknight and Rush will owe the fee for the work performed to the effective date, prorated against the fixed fee, together with any expenses properly incurred, and we will hand over the work product in whatever state it has by then reached and assist an orderly close.

Confidentiality

We will treat the information you place in our hands as confidential, use it only for this review, and disclose it beyond our firm only as you direct in writing or as the law compels. A review of capital allocation necessarily reaches figures and intentions the company holds closely, and we will handle them with that squarely in mind; we ask the same of you as to our methods, our workpapers, and the terms of this fee, and these obligations will outlast the engagement itself.

The Limit of Our Liability

We will perform this work with the care and skill our profession expects, and our advice will represent our considered judgment on the information available to us; we do not, however, warrant any particular financial outcome, since so much of what follows a capital decision rests with your organization rather than with ours. Our total liability arising out of this engagement, on any theory, is limited to the fees actually paid to us under it, and neither party will be liable to the other for indirect or consequential loss, save that this limit does not reach a party's own fraud or willful misconduct.

Governing Law

This letter, together with the copy you countersign, is the whole of our agreement on this engagement and supersedes anything said or written before it, and it may be varied only in a writing signed by us both. It is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules, and any dispute we cannot settle between us will go to mediation before either party commences litigation.

If the terms above reflect our understanding, I would ask you to sign and date the enclosed copy and return it to me, keeping the second for your own file; on its arrival we will confirm the commencement and be ready to begin on the date set out above. If any part of it would be better talked through first, telephone me this week and I will make the time before you sign.

Sincerely,

Julie Ramsey

Managing Principal

Date: February 12, 2019

Sandra Flores

Chief Operating Officer, Poole, Mcknight and Rush

Date: February 12, 2019